overspending would make its task impossible. The possibility of fiscal dominance, however, only means that given the inflation objective set by the government, both the government and the RBI have a role to play. If the government overspends, the central bank has to compensate with tighter policy to achieve the inflation objective. So long as this is commonly understood, an inflation-focused framework means better coordination between the government and the central bank as they go towards the common goal of macro stability. I certainly believe that the responsible recent budget did create room for the RBI to ease in April.

PRAGMATIC INFLATION FOCUS

As you will understand from all that I have been saying, monetary policy under an inflation-focused framework tries to balance various interests as we bring inflation under control. In doing so, we have to have a pragmatic rather than doctrinaire mindset. For example, emerging markets can experience significant capital inflows that can affect exchange rate volatility as well as financial stability. A doctrinaire mindset would adopt a hands-off approach, while the pragmatic mindset would permit intervention to reduce volatility and instability. Nevertheless, the pragmatic mind would also recognize that the best way to obtain exchange rate stability is to bring inflation down to a level commensurate with global inflation.

Similarly, while financial stability considerations are not explicitly in the RBI's objectives, they make their way in because the RBI has to keep growth in mind while controlling inflation. So if the RBI's monetary policies are contributing to a credit or asset price bubble that could lead to a systemic meltdown and growth collapse, the RBI will have to resort to corrective monetary policy if macro-prudential policy alternatives are likely to prove ineffective.

THE TRANSITION TO LOW INFLATION